Final stock selection

Expected information ratio is the selection metric. Research price cutoff: 2026-11-06.

Choose ADBE, KR, HRL, BMY, XOM and HPQ. Allocate exactly one-third of target NAV using positive alpha/residual-variance scores. Fund the stocks by multiplying every original ETF target by two-thirds. This returns to the original proposed notebook construction; proportional funding is a choice, not an additional challenge rule.

Stock	Total NAV	Value / price USD	Base annual alpha	Stock IR
ADBE	4.65%	290.32 / 239.30	12.07%	0.347
KR	8.10%	78.00 / 67.70	8.14%	0.376
HRL	6.90%	25.16 / 21.95	7.79%	0.339
BMY	6.33%	70.95 / 62.14	7.52%	0.319
XOM	3.62%	180.00 / 165.87	4.51%	0.187
HPQ	3.73%	32.13 / 28.46	7.23%	0.240

Checkpoint measure	Final selection
Textbook expected residual IR	0.756
IR using full residual covariance	0.696
Official 60-month annual tracking error	3.92%
Largest individual stock	8.10%

The 420 recorded 3-6 stock combinations use nine positive, valued research cases. The selected six have full-residual IR 0.696, close to the pure five-stock maximum of 0.698. We choose six for higher course-formula IR, lower current tracking error and lower concentration. The largest stock slightly exceeds our discretionary 8% preference. Historical return means and realized Sharpe were not ranking inputs.

ETF	NAV target	ETF	NAV target
SPY	17.39%	SCHD	2.19%
EEMV	6.44%	VGSH	3.33%
DBC	17.97%	STIP	19.35%

Zero-fee implementation; risk remains material. All positions use post-loss NAV with no fee reserve. Recent daily TE is 6.53%-7.74%, above the additional 5% research preference. The 63-session estimate gives expected portfolio active IR 0.345 at zero fees. The course IR 0.756 is a valuation forecast, not proven realized skill.

Why I choose this six-stock basket

Eligible basket	Textbook IR	Correlated IR	Monthly TE	Daily 63 TE	Max stock
Final six	0.756	0.696	3.92%	7.74%	8.10%
ADBE/KR/HRL/BMY/FDS/INTU	0.798	0.600	4.80%	9.39%	7.80%
ADBE/KR/HRL/BMY/HPQ	0.732	0.698	4.09%	8.68%	9.09%
Previous six with GILD	0.730	0.618	4.17%	7.57%	8.33%

Higher headline IR is not necessarily a stronger basket

The basket with the highest independent-residual IR reaches 0.798. Including its residual correlations reduces that to 0.600, versus 0.696 for the selected basket. More software exposure does not provide the same diversification as independent bets. The alternative remains a positive standalone valuation case; its inputs were not reduced to make the final basket win.

Why keep six rather than five

The five-stock maximum has full-residual IR 0.698, versus 0.696 for six: a difference of only 0.0017. Its largest stock is 9.09% NAV and recent daily TE is 8.68%, versus 8.10% and 7.74% for six. Exxon adds a different operating exposure and lowers recent active risk. Six slightly exceeds the 8% concentration preference; manually capping Kroger would break the required stock proportions. Exxon's valuation and Q4 information case must stand on their own.

Why HPQ replaces Gilead

At 3.73% NAV, HPQ offers normalized cash support and a confirmed November 24 results/outlook event. Remove the tariff-refund benefit before valuing it. Gilead has a 6.12% earnings-value gap and a late, binary FDA catalyst; acquisition cash is also excluded from its unusually high cash proxy. The change raises expected residual IR and removes that late regulatory bet. HPQ printing/PC risks remain explicit.

Funding and benchmark

Proportional ETF funding preserves the original SAA's relative ETF mix and makes the new portfolio exactly 2/3 SAA +1/3 stocks. The earlier bond-preserving funding introduced another benchmark-relative ETF decision. Keeping the original proportions makes the source of expected alpha clearer. The original SAA targets remain the benchmark throughout.

A separate sell-only funding diagnostic minimizes the largest TE across the four covariance estimates. It gives recent daily TE 6.72%, leaves 3.98% NAV in bonds and retains 26.95% in DBC. The proportional funding retains 22.69% in bonds and reduces DBC to 17.97%. We reject the covariance-only financing choice: the reduction in recent TE comes with a much larger strategic risk shift.

Evidence: S01, S27, S28, S29, S30. Full links and qualifications in the source register.

The one-page alpha and IR assignment

Stock	EPS x P/E	k	Value gap	Full/base alpha	Residual var	Basket weight
ADBE	18.145 x 16.0	13.19%	21.32%	24.13% / 12.07%	0.12120	13.95%
KR	5.200 x 15.0	7.05%	15.21%	16.29% / 8.14%	0.04693	24.30%
HRL	1.480 x 17.0	6.52%	14.62%	15.58% / 7.79%	0.05273	20.69%
BMY	6.450 x 11.0	6.14%	14.18%	15.05% / 7.52%	0.05546	19.00%
XOM	10.000 x 18.0	5.89%	8.52%	9.02% / 4.51%	0.05816	10.86%
HPQ	2.380 x 13.5	12.06%	12.90%	14.45% / 7.23%	0.09045	11.19%

k = sourced 10-year Treasury 4.84% + SPY beta x classroom ERP 6.114%. Full course annual alpha = (1+k)(V/P-1). The base forecast takes 50.00% of that value as a common conservative judgement, fixed before ranking. It is not a measured probability. A common positive factor changes IR, but cancels from normalized stock weights.

Stock scores = max(alpha,0)/annual residual variance; normalize them to one-third NAV. Residual beta and variance use 60 monthly excess returns against the submitted SAA. The market beta used for k is separately estimated against SPY. Historical OLS intercepts are not the forecast alphas.

Catalysts: ADBE December 9 results; KR December 3 results; HRL December 3 results and FY27 outlook; HPQ November 24 results and FY27 outlook; BMY expected remaining 2026 clinical readouts; XOM expected Q4 Uaru startup/planning metrics. The last two have no confirmed day and could slip beyond December 27.

The required Fundamental Law calculation is IR=sqrt(sum(alpha_i^2/var(residual_i)))=**0.756**. Basket alpha is 8.00%. Using the measured full residual covariance gives residual volatility 11.50% and IR=**0.696**.

Credibility: six stocks are not six independent forecasts. At 25% of full valuation alpha, the textbook/full-covariance IRs are 0.378/0.348; at 100% they are 1.512/1.392. The high full-convergence case is too optimistic to present as measured skill. Fair-value and risk sensitivities are essential.

Required link to Sharpe, shown separately from selection: if SAA expected excess return is an assumed 4% per year, its Sharpe is 0.507. The independent-residual unconstrained ceiling is sqrt(SR_SAA^2+IR^2)=0.910. At the actual fixed one-third allocation, conditional Sharpe is 0.748. This is a scenario, not a return forecast or the metric used to rank candidates.

Evidence: S01, S02, S03, S04, S05. Full links and qualifications in the source register.

Expected IR at zero fees and cost sensitivity

Ratio	Definition	Final base
Course textbook IR	Expected stock alpha / independent residual risk	0.756
Full-residual IR	Expected basket alpha / measured full residual risk	0.696
Portfolio active IR	Expected portfolio-minus-SAA return / full TE	0.681
Historical realized IR	Realized daily active mean / realized daily active SD	Diagnostic only

Expected portfolio active return = stock-alpha contribution + (portfolio SAA beta-1)x expected SAA excess return. The base active-IR table uses zero expected SAA excess return as a conservative scenario, not a forecast. The model allows 0%,2%,4% and 6% assumptions without using the historical average as a new alpha.

Risk estimate	Annual TE	Active IR,zero fees	Optional 10 bps stress
Monthly 60	3.92%	0.681	0.421
Daily 252	6.53%	0.408	0.252
Daily 63	7.74%	0.345	0.213
EWMA252	7.49%	0.356	0.220

Challenge implementation uses zero trading fees and no reserve. At 33 sessions, the base residual-alpha contribution is 0.35% of NAV. For research sensitivity only, hypothetical 10 bps entry-and-exit costs would consume 0.13%, leaving 0.22% before other market-exposure effects. These assumed edges remain small relative to risk. No hypothetical fee is deducted from the Bloomberg share quantities.

Residual-IR sensitivity	Result
All fair values 5% lower, held weights fixed	0.426
Residual correlations moved 20% toward one	0.523
Residual volatility 25% higher	0.557

The covariance stress uses 0.8 Sigma +0.2 sigma*sigma' to preserve positive semidefiniteness and individual variances. These are scenarios, not estimated confidence bounds. Re-estimating positive-alpha weights after valuation changes can raise concentration or break the TE band. The report does not claim robustness to every scenario.

Risk validation and historical IR

Current estimate	Annual TE	Total vol	SAA vol
Monthly 60	3.92%	9.47%	7.89%
Daily 252	6.53%	7.32%	6.78%
Daily 63	7.74%	7.35%	5.84%
EWMA252	7.49%	7.50%	6.73%

Official one-month 5% normal VaR is 4.50% versus 3.74% for the SAA, assuming zero monthly mean. The first-round 7-9% volatility target applies to the SAA, not the new portfolio. This portfolio takes more total risk than the SAA.

In 42 fully post-DBC-change weekly origins, the preceding 60-month forecast has medianTE 3.63%; the following 33 sessions realize median 5.96%. A monthly forecast pass is not a guarantee of recent risk. Chronological training excludes future prices, but today's stock choices were not known at those origins.

Zero-fee 33 sessions	Median realized IR	Mean active return	5 th % return	Worst drawdown
Submitted SAA	Reference	0.00%	-2.39%	-4.54%
Earlier five-stock proposal	-0.355	-0.23%	-4.18%	-7.34%
Previous six-stock proposal	-0.184	-0.64%	-2.46%	-4.76%
Final six stocks	-0.268	-0.39%	-1.91%	-5.26%
Best five-stock IR	-0.698	-0.61%	-1.54%	-5.21%
Higher headline IR	-1.709	-1.07%	-2.45%	-6.15%

Historical comparisons are mixed: the final basket improves mean active return over the previous six-stock proposal, but its median realized active IR is worse. The earlier five-stock proposal has a less negative mean active return than the final six. All three underperform the SAA on mean active return in this test. These results are not converted into forecasts; historical means were not optimization inputs.

Tests cover 20/33/63-session starts,0/5/10/25 bps entry/exit costs, drawdowns, weekly forward risk, matched 6/12-month risk and pre/post/crossing DBC regimes. The 217 post-change 33-session starts represent only 6-7 non-overlapping periods per offset. Both stocks and SAA were selected in 2026. These are reused fixed-exposure diagnostics, not an untouched holdout or a point-in-time discretionary strategy backtest.

DBC changed methodology on November 10,2025. Five-year covariance combines different fund exposures. Regime splits cannot isolate the methodology effect from changes in markets. Adjusted-price tests approximate dividend reinvestment; the actual challenge holds distribution cash.

Evidence: S01, S02, S20. Full links and qualifications in the source register.

How uncertain are the stock proportions?

Five leave-one-year-out calibrations of residual risk, holding forecast alphas fixed, put Kroger at 7.81%-8.32% NAV and Adobe at 4.35%-5.17%. These 48-observation recalibrations are sensitivity cases, not confidence intervals or a strategy backtest. Official weights continue to use all 60 months. Exact decimal weights are model outputs, not evidence of equivalent forecasting precision.

Why these multiples are defensible assumptions

The multiple is a judgement, not a discovered intrinsic value. Peer evidence must use comparable earnings bases. Annual GAAP P/Es and next-year adjusted P/Es are separate cross-checks; a mixed peer median does not establish fair value. We retain the six names as a conditional active portfolio, not a proven global optimum.

Stock	EPS used	Chosen P/E	Break-even P/E	Value / price
ADBE	18.145	16.0 x	13.19 x	290.32 / 239.30
KR	5.200	15.0 x	13.02 x	78.00 / 67.70
HRL	1.480	17.0 x	14.83 x	25.16 / 21.95
BMY	6.450	11.0 x	9.63 x	70.95 / 62.14
XOM	10.000	18.0 x	16.59 x	180.00 / 165.87
HPQ	2.380	13.5 x	11.96 x	32.13 / 28.46

ADBE: a discounted cash-generating software franchise

16 x uses issuer FY26 GAAP EPS, retaining SBC. The archived annual-GAAP peer multiples range from about 19.8 xfor Oracle to 28.5 xfor Salesforce; these are older-period comparisons, not matched forward targets. The cash-capacity check is 270.38 versus 239.30. The December 9 outlook must challenge the view that AI will erode cash generation. This is the clearest valuation cushion in the basket.

KR: stable demand with a demanding execution test

15 xguided FY26 adjusted earnings is below the heterogeneous retail next-year median, but above pure-grocer Albertsons. It is not justified by importing Walmart's growth premium. Cash value 79.03 roughly corroborates 78.00. Margin pressure, leverage and unquantified tariff-refund benefits are real qualifications. The December 3 test is sales, cash and margins; EPS maintained only by buybacks is insufficient.

HRL: a recovery valuation, not a dividend-history shortcut

17 xFY26 adjusted EPS corresponds to about 16.1 xarchived FY27 consensus, near Tyson's 15.6 xforward snapshot and above weaker mixed-food peers. Brand and Foodservice execution must earn that premium. Cash value 30.99 supports a recovery case, but 15 xearnings gives only 22.20 versus 21.95. The margin largely disappears at that lower multiple. Brakebush contributes no assumed immediate EPS accretion.

BMY: discount the patent cliff, do not assume a trial win

11 xcompany-guided non-GAAP EPS corresponds to about 10.7 xarchived FY27 consensus, below the selected drug-peer 16-19 xforward range. The discount is necessary for patent erosion and execution risk. Zero-growth owner-cash value 69.64 supports 70.95 only conditionally; a higher required return or falling cash removes the cushion. Milvexian stroke and ACS are separate trials, and the prior ACS failure is adverse evidence.

HPQ: normalized cash rather than a high-growth PC thesis

13.5 xnormalized GAAP EPS excludes 0.19 of tariff refunds. A separate adjusted-forward peer calculation produces about 32.98; it must not be compared directly with the GAAP multiple. The normalized cash proxy gives 32.11, close to 32.13 earnings value. Negative equity rules out a useful book-value/ROE argument. November 24 guidance must support cash after the refund expires.

XOM: the least certain value case, held at a small weight

10 EPS is deliberately below the archived FY27 consensus 12.01 and does not annualize a strong quarter. The 18 xmultiple is a quality/project-execution premium, not a discount to current forward peers. At 17 x,value is 170 and upside only 2.5%. Its small position diversifies the stock basket, but commodity overlap and late-Q4 timing remain costs of holding it.

Evidence: S02, S03, S04, S06, S07, S08, S09, S13, S14, S15, S16, S17, S18, S19, S29, S30, S39. Full links and qualifications in the source register.

The selection does not require equal conviction

The common 50% alpha factor is a transparent forecast scaling assumption. It is not a measured 50% probability that each catalyst succeeds. Assigning new issuer-specific probabilities without evidence would introduce more arbitrary inputs. Instead, the following stress recalculates the required proportions after reducing the two weakest catalyst alphas.

Scenario	Residual IR	Monthly TE	Daily 63 TE	Largest stock
Base	0.696	3.92%	7.74%	8.10%
BMY and XOM alpha halved	0.661	3.98%	8.24%	9.52%
XOM alpha zero	0.698	4.09%	8.68%	9.09%
All fair values 10% lower	0.204	4.43%	8.82%	9.33%

Halving BMY and XOM alpha preserves a positive forecast basket IR, but increases concentration in the other stocks and recent active risk. Removing XOM leaves five compliant stocks and a near-identical residual IR, but a materially larger Kroger position and daily TE. These calculations do not prove that the base alphas are true.

How fragile are the cash cross-checks?

Stock	Base cash value	k +1 percentage point	k +2 percentage points	Price
ADBE	$270.38	$245.48	$224.68	$239.30
KR	$79.03	$65.91	$56.51	$67.70
HRL	$30.99	$25.37	$21.48	$21.95
BMY	$69.64	$59.88	$52.52	$62.14
XOM	n.a.	n.a.	n.a.	$165.87
HPQ	$32.11	$28.90	$26.27	$28.46

These are simplified cash-capacity models, not full enterprise DCFs. Working capital, reinvestment, buybacks and acquisitions can distort them. A one-point increase in k removes the base cash-value cushion for Kroger and BMY. Exxon has no after-SBC cash value because the input is unavailable. The cash checks corroborate assumptions; they do not independently certify a bargain.

Concentration and overall exposure

KR and HRL have residual correlation 0.27, with recent daily correlation 0.50. They are different businesses, but their shared December 3 results date concentrates 15.00% of NAV in one reporting day. Equity securities rise from 39.02% in SAA to 59.35% after the rebalance. Estimated SPY beta rises from 0.392 to 0.436; portfolio beta relative to SAA is 1.104. This is an active equity tilt, not a defensive replacement for SAA.

What the critique gets right and wrong

It is right about valuation uncertainty, event concentration and the weaker BMY/XOM timing. Adobe December 9 and HP November 24 are issuer-confirmed, not estimates. The checkpoint assigns zero weight to negative-alpha stocks. It does not require every researched candidate to have positive alpha. Positive-alpha holdings follow the sizing formula; the valuation assumptions still need scrutiny, with rejected and unsupported cases documented. No activist thesis is asserted because no verified campaign is relied on. No candidate is described as statistically proven to outperform.

Evidence: S01, S07, S30, S39. Full links and qualifications in the source register.

ADBE: Adobe

Price	Intrinsic value	Upside V/P-1	Safety 1-P/V	NAV weight
$239.30	$290.32	21.32%	17.57%	4.65%

Creative and document subscriptions generate recurring cash. AI can expand usage, but cheaper competing tools, renewal pressure and pricing matter.

Valuation and earnings basis

Primary value is 16 x the FY26 GAAP guidance midpoint 18.145. This includes stock compensation. The multiple is a judgemental discount for AI and renewal uncertainty, not a mechanically observed fair multiple. A dividend model is unsuitable because Adobe pays no dividend.

Approximate TTM EPS (sum of quarters) $17.92; chosen EPS 18.145; analyst next-fiscal EPS $27.43. Peer November 5 quote snapshot: next-fiscal adjusted P/E median 13.17 x versus our 16.0 x normalized multiple. Bases and business mixes differ; this is not a mechanical valuation rule.

Quality metric	Latest annual	Prior mean	Peer median	Warning
ROE	61.34%	35.38%	24.04%	No
FCF margin	41.45%	38.13%	34.68%	No
Revenue growth	10.53%	10.52%	13.90%	No
Gross margin	89.27%	88.20%	77.68%	No
Debt equity	0.57 x	0.34 x	0.44 x	Yes
Payout FCF	1.15 x	0.91 x	0.88 x	Yes

Peers: CRM, INTU, ORCL. Warning means worse than both history and peer median. Fiscal years differ. Prior mean uses up to 3 earlier annual observations, or 2 earlier sales-growth rates. Negative-equity ratios are unavailable, not passes.

Cash, management and value-trap judgement

Buybacks can lift EPS and ROE by shrinking the share count and equity. Check operating growth, cash conversion and borrowing together. Do not treat rising ROE after aggressive repurchases as independent proof of better management. The publicly announced CEO succession takes effect December 1: Anil Chakravarthy becomes CEO and Shantanu Narayen executive chair. Watch execution and the first outlook under the new leadership; the already-known appointment adds no separate forecast alpha.

Qualified value case: cash supports a value above price, but the lower cash cross-check narrows the apparent earnings-based cushion. A software rerating is not assured.

TTM through 2026-08-31: OCF 10.81 bn; capex 0.21 bn; raw FCF 10.59 bn. SBC 2.07 bn. Cash/share $21.89; first 5-year/terminal growth 8.00%/3.00%;k 13.19%; cash-capacity value $270.38.

Catalyst and invalidation

Issuer calendar: December 9 FY26 results. The useful new information is recurring-revenue growth, paid AI monetisation, margins and the FY27 outlook. We need better evidence of earnings sustainability, not merely a known reporting date.

Reassess if: AI competition weakens renewals or pricing; cash generation deteriorates; FY27 guidance fails to support normalized earnings.

Evidence: S02, S03, S04, S06, S07, S31. Full links and qualifications in the source register.

KR: Kroger

Price	Intrinsic value	Upside V/P-1	Safety 1-P/V	NAV weight
$67.70	$78.00	15.21%	13.21%	8.10%

Essential grocery demand supports cash generation, but thin margins, price competition and investment execution make this an equity risk rather than a cash substitute.

Valuation and earnings basis

Use 15 x FY26 adjusted EPS5.20. The company guide is 5.10-5.30. This basis removes exceptional fulfilment charges; those charges still represent real capital lost. A dividend-only model omits material buybacks and reinvestment. The Q2 release also lists tariff refunds among margin supports without quantifying their EPS contribution. USD5.20 is therefore an issuer-adjusted guidance case, not proof that all profits are recurring. A lower-earnings sensitivity is necessary.

Approximate TTM EPS (sum of quarters) $1.84; chosen EPS 5.200; analyst next-fiscal EPS $5.47. Peer November 5 quote snapshot: next-fiscal adjusted P/E median 16.55 x versus our 15.0 x normalized multiple. Bases and business mixes differ; this is not a mechanical valuation rule.

Quality metric	Latest annual	Prior mean	Peer median	Warning
ROE	17.14%	24.38%	21.98%	Yes
FCF margin	2.34%	1.36%	2.09%	No
Revenue growth	0.35%	-0.37%	3.46%	No
Gross margin	23.30%	22.13%	27.18%	No
Debt equity	4.17 x	2.24 x	1.26 x	Yes
Payout FCF	1.04 x	1.63 x	1.05 x	No

Peers: ACI, WMT, TGT. Warning means worse than both history and peer median. Fiscal years differ. Prior mean uses up to 3 earlier annual observations, or 2 earlier sales-growth rates. Negative-equity ratios are unavailable, not passes.

Cash, management and value-trap judgement

The failed automated-fulfilment investment is a management warning. Buybacks and leverage must be judged against free cash generation, not just an adjusted EPS recovery. Normalized profit is not evidence that the earlier investment was harmless.

Qualified positive: cash value is close to earnings value, but the largest alpha/residual score creates the largest position. Its resulting weight slightly exceeds the 8% research preference. No discretionary increase is justified.

TTM through 2026-07-31: OCF 6.71 bn; capex 4.32 bn; raw FCF 2.38 bn. SBC 0.17 bn. Cash/share $3.74; first 5-year/terminal growth 3.00%/2.00%;k 7.05%; cash-capacity value $79.03.

Catalyst and invalidation

Issuer-announced December 3 Q3 results. Watch same-store demand, margin, free cash and execution of the October strategy update. The October 20 update was already public before entry and is not a new future event.

Reassess if: Sales or margins weaken, cash conversion disappoints, or buybacks rely on rising borrowing instead of sustainable cash.

Evidence: S02, S03, S04, S08, S09. Full links and qualifications in the source register.

HRL: Hormel Foods

Price	Intrinsic value	Upside V/P-1	Safety 1-P/V	NAV weight
$21.95	$25.16	14.62%	12.76%	6.90%

Branded protein and Foodservice provide a cash-supported recovery case. Retail volumes, input costs and execution remain weak points. Recent stock volatility shows that a food label does not make a position low risk.

Valuation and earnings basis

Use 17 x the FY26 adjusted guide midpoint 1.48. The 1.45-1.51 adjusted range differs materially from GAAP1.06-1.12. The premium to several mixed food peers requires better execution; it is not justified solely by a long dividend record.

Approximate TTM EPS (sum of quarters) $0.63; chosen EPS 1.480; analyst next-fiscal EPS $1.57. Peer November 5 quote snapshot: next-fiscal adjusted P/E median 12.12 x versus our 17.0 x normalized multiple. Bases and business mixes differ; this is not a mechanical valuation rule.

Quality metric	Latest annual	Prior mean	Peer median	Warning
ROE	6.05%	11.20%	-2.50%	No
FCF margin	4.41%	7.26%	8.68%	Yes
Revenue growth	1.55%	-2.18%	2.12%	No
Gross margin	15.63%	16.95%	23.92%	Yes
Debt equity	0.36 x	0.41 x	1.14 x	No
Payout FCF	1.18 x	0.68 x	0.70 x	Yes

Peers: TSN, SJM, CAG. Warning means worse than both history and peer median. Fiscal years differ. Prior mean uses up to 3 earlier annual observations, or 2 earlier sales-growth rates. Negative-equity ratios are unavailable, not passes.

Cash, management and value-trap judgement

The 1.055 bn Brakebush acquisition is expected to close in fiscal 2027 Q1, with adjusted EPSaccretion only from 2028. No immediate uplift is assumed. Funding, integration and leverage need scrutiny. Divestiture, impairment and legal costs are real even when excluded from adjusted EPS.

Moderate-conviction recovery case. The cash proxy supports value, but dividend coverage is only modest and the prior annual payout ratio is a warning. A dividend cut or acquisition-funded cash shortfall would undermine the thesis.

TTM through 2026-07-31: OCF 1.09 bn; capex 0.31 bn; raw FCF 0.78 bn. SBC 0.03 bn. Cash/share $1.37; first 5-year/terminal growth 2.00%/2.00%;k 6.52%; cash-capacity value $30.99.

Dividend cross-check:1.17 annual dividend at k 6.52% gives $17.95 with zero growth and $26.41 with 2% growth. Acquisition funding and payout coverage make an unconditional dividend-growth valuation unreliable.

Catalyst and invalidation

Confirmed December 3 FY26 results and FY27 outlook, including the new CEO's execution priorities. The useful catalyst is evidence of cash recovery and a credible outlook. Acquisition completion itself may occur after the challenge cutoff.

Reassess if: Weak FY27 guidance, further retail-volume losses, poor cash conversion, a dividend funding problem, or unexpectedly expensive acquisition financing.

Evidence: S02, S03, S04, S13, S14, S15. Full links and qualifications in the source register.

BMY: Bristol Myers Squibb

Price	Intrinsic value	Upside V/P-1	Safety 1-P/V	NAV weight
$62.14	$70.95	14.18%	12.42%	6.33%

Established medicines generate cash while the newer portfolio must offset patent and generic erosion. A low multiple can reflect a real cash-flow decline rather than mispricing.

Valuation and earnings basis

Use 11 x the FY26 non-GAAP guide midpoint 6.45. This retains the 0.60 IPRD/licensing impact included in the updated 6.35-6.55 range. Do not add it back again. The multiple discounts patent and acquisition risk relative to pharmaceutical peers.

Approximate TTM EPS (sum of quarters) $4.51; chosen EPS 6.450; analyst next-fiscal EPS $6.65. Peer November 5 quote snapshot: next-fiscal adjusted P/E median 17.21 x versus our 11.0 x normalized multiple. Bases and business mixes differ; this is not a mechanical valuation rule.

Quality metric	Latest annual	Prior mean	Peer median	Warning
ROE	38.19%	-2.38%	37.49%	No
FCF margin	26.65%	27.62%	25.59%	No
Revenue growth	-0.22%	2.41%	5.48%	Yes
Gross margin	71.08%	75.12%	72.52%	Yes
Debt equity	2.55 x	1.95 x	1.10 x	Yes
Payout FCF	0.39 x	0.73 x	0.67 x	No

Peers: GILD, AMGN, MRK, ABBV. Warning means worse than both history and peer median. Fiscal years differ. Prior mean uses up to 3 earlier annual observations, or 2 earlier sales-growth rates. Negative-equity ratios are unavailable, not passes.

Cash, management and value-trap judgement

Evaluate acquired-product returns and debt against available cash. Our simplified owner-cash proxy with zero assumed growth supports a value close to the earnings valuation. A3% five-year cash decline at 0% terminal growth reduces that value below today's price.

Qualified value case, with three annual quality warnings. No-growth cash support is useful, but it is not protection against a patent-driven decline. A constant-growth DDM would underrepresent that discontinuity.

TTM through 2026-09-30: OCF 10.65 bn; capex 1.37 bn; raw FCF 9.29 bn. SBC 0.55 bn. Cash/share $4.27; first 5-year/terminal growth 0.00%/0.00%;k 6.14%; cash-capacity value $69.64.

Catalyst and invalidation

The October 29 issuer presentation expects remaining 2026 Sotyktu SLE and milvexian secondary-stroke readouts. Exact days are unconfirmed and could slip beyond December 27. Already-reported trials are not counted again. These are clinical results, not assumed regulatory approvals. Milvexian already failed in the separate ACS indication; a positive stroke result must not be presumed from its mechanism.

Reassess if: Disappointing clinical data, greater patent erosion, declining cash, or acquisition/debt demands that undermine shareholder distributions.

Evidence: S02, S03, S04, S16, S17, S39. Full links and qualifications in the source register.

XOM: ExxonMobil

Price	Intrinsic value	Upside V/P-1	Safety 1-P/V	NAV weight
$165.87	$180.00	8.52%	7.85%	3.62%

Integrated energy supplies different operating drivers from software, food and healthcare. It also overlaps the existing DBC commodity risk, so it is not an independent defensive hedge.

Valuation and earnings basis

Use normalized EPS10 at 18 x, giving 180. This is an analyst scenario near trailing earnings and below next-year consensus, not company EPS guidance. Do not annualize a strong oil/refining quarter into permanent earnings.

Approximate TTM EPS (sum of quarters) $9.73; chosen EPS 10.000; analyst next-fiscal EPS $12.01. Peer November 5 quote snapshot: next-fiscal adjusted P/E median 12.40 x versus our 18.0 x normalized multiple. Bases and business mixes differ; this is not a mechanical valuation rule.

Quality metric	Latest annual	Prior mean	Peer median	Warning
ROE	11.12%	19.64%	12.39%	Yes
FCF margin	7.29%	11.23%	12.29%	Yes
Revenue growth	-4.52%	-7.34%	-3.40%	No
Gross margin	21.99%	24.54%	30.41%	Yes
Debt equity	0.17 x	0.19 x	0.28 x	No
Payout FCF	1.59 x	0.89 x	1.37 x	Yes

Peers: CVX, COP, EOG. Warning means worse than both history and peer median. Fiscal years differ. Prior mean uses up to 3 earlier annual observations, or 2 earlier sales-growth rates. Negative-equity ratios are unavailable, not passes.

Cash, management and value-trap judgement

Four annual quality metrics deteriorate against both history and peers. Recent cash is stronger but reflects the commodity cycle. Production projects and distributions must remain affordable without permanently high oil prices.

Moderate-low conviction. The valuation cushion is thin for a cyclical producer and the event timing is uncertain. Raw FCF is useful evidence, but Yahoo supplies no SBC series, so no after-SBC cash value is fabricated.

TTM through 2026-09-30: OCF 70.59 bn; capex 27.62 bn; raw FCF 42.96 bn. SBC unavailable. No after-SBC cash value is fabricated.

Catalyst and invalidation

The issuer's Q3 call expects Uaru startup and a release of 2027 planning metrics during Q4. There is no formal December investor-day event. Timing is unconfirmed and may fall after December 27; project execution and planning detail must provide new information.

Reassess if: Lower oil/refining margins, project delays, capital spending overruns, or payouts that depend on extrapolating peak-cycle cash.

Evidence: S02, S03, S04, S18, S19. Full links and qualifications in the source register.

HPQ: HP Inc.

Price	Intrinsic value	Upside V/P-1	Safety 1-P/V	NAV weight
$28.46	$32.13	12.90%	11.42%	3.73%

Personal Systems and Printing produce cash but face memory costs, weak unit demand and structural printing decline. This is a small normalized-cash position, not a high-growth AI bet.

Valuation and earnings basis

FY26 GAAP EPS midpoint 2.57 less 0.19 tariff refunds gives 2.38. At 13.5 x, intrinsic value is 32.13. Do not use the higher adjusted EPS3.24 or capitalize a one-time refund. A dividend-only model misses substantial buybacks.

Approximate TTM EPS (sum of quarters) $2.62; chosen EPS 2.380; analyst next-fiscal EPS $3.15. Peer November 5 quote snapshot: next-fiscal adjusted P/E median 10.46 x versus our 13.5 x normalized multiple. Bases and business mixes differ; this is not a mechanical valuation rule.

Quality metric	Latest annual	Prior mean	Peer median	Warning
ROE	n.a.	n.a.	13.31%	n.a.
FCF margin	5.06%	5.77%	7.53%	Yes
Revenue growth	3.24%	-7.45%	13.84%	No
Gross margin	20.60%	20.99%	30.26%	Yes
Debt equity	n.a.	n.a.	0.78 x	n.a.
Payout FCF	0.69 x	0.94 x	1.14 x	No

Peers: DELL, HPE, CSCO. Warning means worse than both history and peer median. Fiscal years differ. Prior mean uses up to 3 earlier annual observations, or 2 earlier sales-growth rates. Negative-equity ratios are unavailable, not passes.

Cash, management and value-trap judgement

Negative equity makes ROE and debt/equity unavailable. Review absolute debt and cash payout coverage instead. Normalize issuer FCF guidance 3.1 bn by subtracting a 0.17613 bn tariff-refund cash proxy and 0.479 bn TTM SBC. The resulting 2.44487 bn is an analyst cash-capacity proxy, not issuer FCFE guidance.

Qualified, modest-size cash case. Printing decline and weak unit volumes can erode profits. Normalized cash value supports the earnings value, but the cushion is not large. The modest position improves expected basketIR without making the portfolio depend heavily on the PC cycle.

TTM through 2026-07-31: OCF 4.67 bn; capex 0.79 bn; raw FCF 3.88 bn. SBC 0.48 bn. Cash/share $2.71; first 5-year/terminal growth 4.00%/3.00%;k 12.06%; cash-capacity value $32.11.

The cash value uses the normalized guide-based cash proxy, not the higher raw TTM FCF. The tariff cash adjustment is 0.19 EPS x 927 million diluted shares, an analyst proxy rather than a disclosed issuer cash bridge.

Catalyst and invalidation

Confirmed November 24 FY26 results and FY27 outlook. The key new information is normalized cash, printing trends, pricing/memory costs and the outlook after the tariff-refund benefit expires. Later investor conferences are supplementary rather than the main catalyst.

Reassess if: FY27 guidance or normalized cash weakens, printing decline accelerates, or shareholder distributions rely on borrowing.

Evidence: S02, S03, S04, S29, S30. Full links and qualifications in the source register.

Reference allocation and implementation

USD security / Bloomberg identifier	NAV weight	Price USD	Target shares	Trade shares
SPY US Equity	17.39%	$735.29	22,964	-11,205
EEMV US Equity	6.44%	$69.71	89,717	-43,893
DBC US Equity	17.97%	$31.54	553,213	-245,543
SCHD US Equity	2.19%	$35.17	60,380	-35,108
VGSH US Equity	3.33%	$57.86	55,948	-30,723
STIP US Equity	19.35%	$100.51	186,996	-101,634
ADBE US Equity	4.65%	$239.30	18,865	+18,865
KR US Equity	8.10%	$67.70	116,215	+116,215
HRL US Equity	6.90%	$21.95	305,167	+305,167
BMY US Equity	6.33%	$62.14	99,004	+99,004
XOM US Equity	3.62%	$165.87	21,201	+21,201
HPQ US Equity	3.73%	$28.46	127,276	+127,276

ETF names: SPY, SPDR S&P500 ETF Trust; EEMV, iShares MSCI Emerging Markets Minimum Volatility Factor ETF; DBC, Invesco DB Commodity Index Tracking Fund; SCHD, Schwab U.S.Dividend Equity ETF; VGSH, Vanguard Short-Term Treasury ETF; STIP, iShares 0-5 Year TIPS Bond ETF. Individual company names appear in the dossiers. All prices and securities are USD. Price date: 2026-11-06.

Sizing calculation	Zero-fee result
NAV after Round 1 losses and distributions	$97,115,068.58
One-third individual-stock target	$32,371,689.53
Trading fees and fee reserve	$0.00
Cash from whole-share rounding	$116.05
Rounded stock fraction of post-loss NAV	33.333199%

Continuous targets allocate exactly one-third of post-loss NAV to individual stocks. All quantities use zero fees and no reserve. The team reported buying one additional SPY share at 735.29 and one additional ADBE share at 239.30. Final holdings are 22,964 SPY shares and 18,865 ADBE shares, leaving 116.05 cash. Quantities assume the submitted opening ETF book; reconcile actual Bloomberg holdings, cash and distributions before implementation. Preserve the existing PRTU portfolio history. The next rebalancing window is November 28-29.

Evidence: S01, S02. Full links and qualifications in the source register.

Required Round 1 performance and remaining checks

Performance through 2026-11-06	Result
Ending NAV	$97,115,068.58
Total return	-2.88%
Annualized daily volatility	8.14%
Annualized daily Sharpe	-6.497
Daily observations	15

Holding	P&L USD	Initial NAV contribution
SPY	$-955,365.24	-0.96%
EEMV	$-346,049.90	-0.35%
DBC	$-1,757,263.20	-1.76%
SCHD	$78,300.16	0.08%
VGSH	$31,106.22	0.03%
STIP	$64,340.53	0.06%

The realized annualized volatility is 8.14%, within the original 7-9% SAA target around 8%. This reconstruction includes entitled November VGSH/STIP cash distributions. It is not Bloomberg-certified. The short-sample Sharpe is unstable; it is reported because the written Round 1 reporting requirements request it. It was not used to rank the Round 2 stock selection.

Independent verification passed 1785 checks, including separate OLS regressions, full/diagonal expected IR, exhaustive candidate ranking, price-unit historical holding paths and realized active IR, costs, dates and constraints. The workbook separately tests input changes and recalculation. Native Microsoft Excel recalculation was not independently verified.

What improves on Lorenzo's supplied model

The November 3 workbook's risk arithmetic reproduced in the original audit:8.0826% volatility and 3.9859% tracking error on its 59 monthly observations. Its forecast alphas were hardcoded rather than linked to valuation. The November 4 allocation screenshot held AVGO and RTX despite its displayed negative alphas. The new model links value to alpha to residual-variance weights, uses 60 complete months and assigns negative-alpha stocks zero weight. The later optimizer script was not supplied, so no claim is made to have reconstructed it. These are construction improvements, not proof of future outperformance. The original supplied files and audit outputs are preserved in the research package.

Why rejected alternatives remain rejected

Disney and Lowe's have earnings cases that are not corroborated by our cash-capacity assumptions. PepsiCo's core earnings contain tariff-refund support and its value cushion is thin. FactSet has a real near-term event but a thin cash-value cushion. Intuit remains eligible but adds correlated software risk. Gilead remains eligible for comparison but is not selected. No forecast alpha was increased to produce a higher IR.

The shortlist ranking is conditional on the researched valuations and catalysts. It is not a proof of a global optimum across every US-listed stock. Historical data have been reused, and the selected universe has present-day selection bias. A final portfolio can be chosen without pretending that future alpha has been statistically validated.

Additional universe checks

US-listed Canadian banks: a real event is not enough

Bank	NYSE price USD	Earnings sensitivity value USD	Gap
BMO	$172.45	$168.42	-2.33%
TD	$123.09	$117.81	-4.29%
RY	$203.76	$191.90	-5.82%

The issuer earnings are Canadian dollars, while the NYSE prices are US dollars. The sensitivity converts at the November 5 CAD/USD close. It annualizes the latest quarter and applies 15 xfor BMO/TD and 16 xfor RBC. These are analyst sensitivities, not validated forward forecasts or full bank valuations. None produces a cushion at those assumptions. A higher multiple cannot be justified simply because we want another stock. The review does not reject every possible bank thesis.

Evidence: S02, S32, S33, S34. Full links and qualifications in the source register.

Lululemon: even the positive case does not improve the basket

Remove 0.86 of tariff-refund EPS from the 9.605 issuer FY26 midpoint: normalized EPS is 8.745. The frozen 14 xearnings sensitivity gives $122.43 versus $110.79 at 2026-11-06. The original November 5 cash review, using a diluted-share denominator, gave about 121.43 under flat five-year cash followed by 2% terminal growth at k 9.96%. Cash corroborated a modest positive case at that date, but falling comparable sales and underlying margins remain material risks. The exact late-year results date is not yet issuer-confirmed.

Conditional ten-case test	Final six	Best including LULU
Expected full-residual IR	0.696	0.668
Official monthly TE	3.92%	4.18%
Recent Daily 63 TE	7.74%	8.70%
Largest stock	8.10%	8.60%

The extra sensitivity enumerates 792 combinations of 3-6 stocks, allowing LULU alongside the original nine. The pure residual-IR maximum remains the five-stock core basket; allowing LULU does not improve that frontier. The selected six retain the documented near-maximum risk and concentration tradeoff. Historical means were not ranking inputs. This conditional extension does not turn an expected calendar date into a confirmed one.

Evidence: S02, S03, S35, S36. Full links and qualifications in the source register.

Deckers remains a valuation watchlist case

The FY27 EPS midpoint 7.875 includes 0.52 of tariff net refunds; normalizing gives 7.355. At an illustrative 15 x, that is 110.33 versus the November 5 price 87.74. However, the October 22 results are already public and no source-verified company information event before the challenge horizon was located. Cheapness alone does not establish a usable short-horizon alpha. No December earnings date or holiday-sales surprise is invented.

Evidence: S37, S38. Full links and qualifications in the source register.

Evidence register

S01 / Course. Local Round 2 guidelines, Class 3 PartII and Class 5 texts. Original SAA benchmark;3-6 long stocks;60 monthly USD returns; annual TE2-5%. One-third is the reported class instruction.

S02 / Prices. Open source. Complete November 6 close. Raw and adjusted daily prices archived. Separate ledger corrects missing VGSH/STIP distributions.

S03 / Statements. Open source. Annual and quarterly statements available November 6. Flow sums and balances remain distinct. Missing SBC is unavailable.

S04 / Estimates. Open source. Analyst adjusted estimates remain separate from issuer GAAP guidance and normalized earnings.

S05 / Rates. Open source. 10-year input 4.84%, observation 2026-11-05. Latest 1-month 4.03%, observation 2026-11-05. Historical monthly mean DGS1 MO/1200.

S06 / ADBE guidance. Open source. FY26 GAAP EPS18.12-18.17; midpoint 18.145.

S07 / ADBE event. Open source. December 9 results, issuer calendar.

S08 / KR guidance. Open source. FY26 adjusted EPS5.10-5.30; reaffirmed October 20 before entry.

S09 / KR event. Open source. December 3 results, issuer announcement dated November 5.

S10 / GILD guidance. Open source. FY26 non-GAAP midpoint-1.025 plus quantified 9.88 IPRD impact per share. Acquisition cash is a real cost.

S11 / GILD FDA. Open source. December 23 anito-cel FDA target action date. No approval probability assumed.

S12 / GILD ASH. Open source. December 12-15 conference data, announced November 5.

S13 / HRL guidance. Open source. FY26 adjusted EPS1.45-1.51; GAAP1.06-1.12.

S14 / HRL event. Open source. December 3 FY26 results/FY27 outlook, announced November 3.

S15 / HRL acquisition. Open source. USD1.055 bn Brakebush deal. Expected fiscal 2027 Q1 close; adjusted EPS accretion only from FY2028.

S16 / BMY guidance. Open source. FY26 non-GAAP EPS6.35-6.55; retains 0.60 IPRD impact.

S17 / BMY pipeline. Open source. Slide 5 expects remaining 2026 Sotyktu SLE and milvexian stroke readouts. Exact days unconfirmed.

S18 / XOM earnings. Open source. Normalized 10 EPS is an analyst scenario. Do not annualize Q3 commodity earnings.

S19 / XOM events. Open source. Q4 Uaru startup/planning metrics expected. No formal December investor day; events could slip beyond December 27.

S20 / DBC methodology. Open source. November 10,2025 methodology change. Pre/post exposure differs; market-regime causality cannot be isolated.

Raw market responses, supplied course texts, source/override ledgers, frozen valuation inputs, all 420 candidate records and the full validation results are in the private research package. Direct archive failures are logged rather than described as successful downloads.

Evidence register continued

S21 / PEP rejected. Open source. Core operating-profit growth includes 4 percentage points of tariff-refund support. Thin value cushion after normalization.

S22 / CPB rejected. Open source. Lower fiscal 2027 earnings outlook and dividend cut.

S23 / SJM rejected. Open source. FY27 EPS guidance includes a non-recurring tariff refund.

S24 / FDX calendar. Open source. Issuer lists the next results call in February 2027 following its fiscal calendar change.

S25 / FDS guidance. Open source. FY27 GAAP EPS17.00-17.50 differs from adjusted 19.25-19.65.

S26 / FDS event. Open source. Confirmed November 10 Investor Day.

S27 / INTU guidance. Open source. FY27 GAAP EPS20.12-20.36, includes SBC. Original unchanged 20 x valuation used for comparison.

S28 / INTU event. Open source. November 19 FY27 Q1 results, confirmed issuer calendar.

S29 / HPQ earnings. Open source. FY26 GAAP midpoint 2.57 less 0.19 tariff refunds =2.38 normalized EPS. FCF guidance 3.0-3.2 bn.

S30 / HPQ event. Open source. November 24 FY26 results and FY27 outlook.

S31 / ADBE leadership. Open source. Announced September 3: Anil Chakravarthy becomes CEO December 1, with Shantanu Narayen becoming executive chair. Already public, not fresh alpha by itself.

S32 / BMO results. Open source. Canadian-dollarQ3 adjusted EPS3.96. Bank sensitivity is a preliminary valuation gate,not a full dossier.

S33 / TD results. Open source. Canadian-dollarQ3 adjusted EPS2.77. Current earnings and prior nonrecurring gains remain distinct.

S34 / RBC results. Open source. Canadian-dollarQ3 reportedEPS4.23; adjusted 4.28.

S35 / LULU results. Open source. FY26 EPS9.48-9.73 includes 0.86 tariff refunds. Normalize to 8.745 midpoint.

S36 / LULU calendar. Open source. No upcoming date yet listed. Ordinary late-year Q3 report expected from cadence,not a confirmedDecemberdate.

S37 / DECK results. Open source. FY27 EPS7.80-7.95 includes 0.52 tariff net refunds. Results publishedOctober 22 already known.

S38 / DECK calendar. Open source. No source-verified company information event before the challenge horizon located. Valuation watchlist only.

S39 / Milvexian ACS outcome. Open source. August 29 primaryclinicalcongressrelease: ACS trial did not reduce major cardiovascular events. Stroke trial is a distinct indication; no success probability assumed.

Raw market responses, supplied course texts, source/override ledgers, frozen valuation inputs, all 420 candidate records and the full validation results are in the private research package. Direct archive failures are logged rather than described as successful downloads.